STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

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Joint Petition of NHIP II Bayonne Holdings, LLC and Jupiter Energy Investor LLC for a Declaratory Ruling Eschewing Further Review of Proposed Transaction, or, in the Alternative, an Order Authorizing the Transaction Pursuant to Section 70 of the New York Public Service Law

Case 26-E-

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JOINT PETITION FOR DECLARATORY RULING OR AUTHORIZATION UNDER SECTION 70 OF THE PUBLIC SERVICE LAW

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Dated: March 24, 2026

STATE OF NEW YORK
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JOINT PETITION FOR DECLARATORY RULING OR AUTHORIZATION UNDER SECTION 70 OF THE PUBLIC SERVICE LAW

Pursuant to Part 8 of the New York State Public Service Commission's ("Commission") Rules and Regulations, NHIP II Bayonne Holdings, LLC ("Seller") and Jupiter Energy Investor LLC (individually, "Buyer" and, collectively with Seller, "Joint Petitioners") hereby jointly submit this petition respectfully seeking Commission action concerning a proposed transaction whereby Buyer will acquire 100% of the equity interests in Thermal Bayonne Holdings, LLC ("TBH") an entity currently wholly owned by Seller, which is the indirect, upstream owner of Bayonne Energy Center, LLC ("BEC") ("Proposed Transaction"). BEC owns and operates the Bayonne Energy Center ("Facility") located in Bayonne, New Jersey, electrically interconnected to New York City, New York Independent System Operator, Inc. ("NYISO") Zone J and actively participating in the NYISO's wholesale electric markets.

Pertinent hereto, the Commission previously determined Facility infrastructure located in New York is subject to its jurisdiction pursuant to a lightened regulatory regime.[1] Accounting for

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[1] *See* NYPSC Case 10-E-0276, *Petition of Bayonne Energy Center, LLC for an Order Providing for Lightened Regulation and Confirming that Section 69, 69-a and 70 of the New York Public Service Law Are Preempted as to the Bayonne Energy Center Transmission Facility,* Order Providing For Lightened Regulation (issued September 17, 2010) (hereinafter, "Lightened Regulation Order") (determining jurisdictional limitations in light of interstate facility characteristics and federal jurisdictional considerations); *see also* NYPSC Case 14-E-0195, *Bayonne Energy Center, LLC, Hess Corporation, LLC and AL Bayonne Holdings, LLC,* Order Modifying Lightened Ratemaking Regulation Authorizations and Approving Financing and Declaratory Ruling on a Transfer Transaction (issued and effective

this Commission determination herein, Joint Petitioners further request that the Commission continue to confirm: (i) the Facility and its direct owner will be addressed under a lightened regulatory regime post-closing; and (ii) the previously approved BEC financing levels and terms will continue to be in place post-closing.[2]

Upon closing the Proposed Transaction, BEC will become an indirect, wholly owned subsidiary of Buyer and will continue to manage the day-to-day operations of the Facility which will not change. Post-closing, the Facility will remain well-positioned to continue to provide critical capacity and energy on a dispatchable basis to maintain system reliability during the transition as the State implements its climate change initiatives under its nation-leading Climate Leadership and Community Protection Act ("CLCPA").[3]

The Commission has recognized merchant generators do not have franchises supported by captive ratepayers and has accordingly long applied a lightened regulatory framework to address inter-corporate transactions involving merchant wholesale generators in New York State. Under this defined lightened regulatory regime known as the Wallkill Presumption, the Commission eschews further review of an upstream transfer of ownership interests in lightly regulated wholesale merchant generating facilities under Section 70 of the New York Public Service Law

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August 15, 2014) (hereinafter, "2014 Lightened Regulation Order") at 7-9 (modifying the Lightened Regulation Order exempting BEC from Sections 69 and 70 review, holding that a proposed transaction that would result in changes to BEC's upstream ownership and debt obligations required review under NYPSL Sections 69 and 70 and eschewing further NYPSL Section 70 review under *Wallkill* because the proposed transaction did not raise concerns about the potential for the exercise of market power or harm to ratepayers).

[2] NYPSC Case 18-E-0601, *Petition of NHIP II Bayonne Holdings LLC for a Declaratory Ruling or an Order Approving Financing Pursuant to Section 69 of the New York Public Service Law,* Declaratory Ruling on Financing (issued and effective November 15, 2018) (hereinafter, "November 2018 Financing Declaratory Ruling") at 5-6 (reaffirming BEC's lightened regulation status and finding changes in upstream ownership interests would not impact terms of BEC's existing financing approvals).

[3] *See* Climate Leadership and Community Protection Act, S.B. 6599, 2019 Leg., 242nd Sess. (N.Y. 2019) (codified as Ch. 106, L. 2019) (hereinafter, "CLCPA"). To combat climate change, the CLCPA calls for, *inter alia,* and an 85% reduction in GHG emissions across all sectors of the economy by 2050.

("NYPSL") and issues a declaratory ruling upon its determination that the subject transaction will not pose significant risk of harm to captive ratepayers.[4] To make this determination, the Commission assesses the buyer's ability to exercise either horizontal or vertical market power, its financial wherewithal and its technical capability.[5]

As demonstrated *infra*, the Proposed Transaction does not raise market power concerns. Buyer does not currently hold any interests in generation or transmission assets in New York or in its neighboring markets, PJM Interconnection, LLC ("PJM") and ISO New England, Inc. ("ISO-NE"). In addition, the financial strength underlying the Facility's operations and maintenance will remain robust going forward because it will be supported by the entry of a new player in the New York market in the stead of the existing owner. Lastly, Buyer will retain the existing management and asset operations teams and operational practices for the Facility and, thus, its proven framework will also continue going forward. As such, the Proposed Transaction satisfies the Commission's Wallkill Presumption for transfers of this nature and is in the public interest. Based on these facts, Joint Petitioners respectfully request that the Commission issue a declaratory ruling foregoing further review or alternatively, if the Commission determines review under NYPSL Section 70 is necessary, an order authorizing the Proposed Transaction.

While the applicability of the CLCPA to matters of this nature remains under judicial review, the Commission may also consider its obligations thereunder in the context of the Joint Petition.[6] Following consummation of the Proposed Transaction, the Facility's operating

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[4] NYPSC Case 91-E-0350, *Wallkill Generating Company, L.P.*, Order Establishing Regulatory Regime (issued and effective April 11, 1994) ("Wallkill Order"). The presumption adopted by the Commission in its Wallkill Order is known, and is referred to herein, as the "Wallkill Presumption."

[5] *Id.* at 9-10.

[6] *See Clean Air Coalition of Western New York, Inc., et al. v. New York State Public Service Commission, et al.*, Consolidated Decision, Order and Judgment (S.Ct. Albany Co.) (issued November 14, 2024), *appeal pending.*

characteristics and its participation in New York's wholesale markets will both remain unchanged. The facts presented thus support a Commission finding that action in this proceeding meets the requirements of CLCPA Sections 7(2) and 7(3), if and as applicable hereto.

Pertinent hereto, at this stage of New York's CLCPA implementation, the NYISO has repeatedly emphasized that projections of significant load growth, shrinking supply margins, and increasingly urgent statewide reliability needs place the New York system at an inflection point.[7] Capacity margin shortfalls and concomitant reliability needs are accordingly becoming more imminent with recent NYISO studies forecasting near term reliability needs in New York City, NYISO Zone J.[8] The extreme peak weather conditions experienced last summer and, more recently, just weeks ago, further underscored the delicacy of this balance.[9] The transition to the CLCPA end state must thus be managed purposefully and effectively to maintain system

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[7] *See* New York Independent System Operator, Inc., "2025-2034 Comprehensive Reliability Plan" (presented at October 29, 2025 Management Committee meeting) (hereinafter, "CRP") at 6 (pointing to factors, such as burgeoning load growth, narrowing supply margins and aging infrastructure, all of which require near term investment and place New York's electric system at inflection point); *see* also New York Independent System Operator, Inc., "2024 Reliability Needs Assessment" (issued November 19, 2024) at 41-52 (identifying resource adequacy needs in latter part of study and increasingly tighter resource adequacy and transmission security-based conditions).

[8] New York Independent System Operator Inc., Short-Term Assessment of Reliability ("STAR") 2025 Quarter 3 Report, available at: https://www.nyiso.com/short-term-reliability-process (identifying reliability deficiencies arising over the next five years (2026-2030), for which it is currently seeking possible solutions). Con Edison's own studies identify longer-term needs increasing in the subsequent five-year period (2031-2035). (*See* "Con Edison 2025 Local Transmission Plan") (presented at December 18, 2025 ESP/TPAS meeting), available at: https://www.nyiso.com/documents/20142/55462035/03b_CECONY_2025_LTP.pdf/f21ff9a3-02f3-eab1-310c-4a6c15521365, as further updated by Con Edison at the March 20, 2026 ESP meeting. (*See* CECONY's Local Transmission Plan (LTP) – Updated Projections of Need" (presented at March 20, 2026 ESP/TPAS meeting), available at: https://www.nyiso.com/documents/20142/57453928/LTP_Update_3_20_2026.pdf/56aa56bc-df14-0928-18f1-f72584d065d7.).) Responding, *inter alia*, to these reports, the Commission recently initiated a proceeding to define a reliability contingency plan for New York City. (*See* NYPSC Case 25-E-0764, *Proceeding of the Commission To Address New York City Reliability Needs,* Order Initiating Proceeding and Directing Reliability Contingency Plan (issued and effective December 18, 2025).)

[9] *See* New York Independent System Operator, Inc., "Winter 2025-2026 Cold Weather Operations" (presented at March 19, 2026 Operating Committee meeting), available at: https://www.nyiso.com/documents/20142/57380138/05_2025-2026%20Cold%20Weather%20Ops%20-%2003192026%20OC.pdf/bc888c81-7135-8265-1260-451b4555b596; *see also* New York Independent System Operator, Inc., "NYISO Summer 2025 Hot Weather Operations – Updated" (presented at October 16, 2025 Operating Committee meeting), available at: https://www.nyiso.com/documents/20142/54426374/05_Summer%202025%20NYISO%20Hot%20Weather%20Operating%20Conditions%20OC.pdf/6118ee5b-4810-5f21-bd55-21768afd6b62.

reliability.

Commission action on the Joint Petition will enable the Proposed Transaction to close thereby bringing a new investor into the New York market and diversifying the ownership of supply resources therein. This will allow the Facility to continue its operations focused on providing critical system reliability in Zone J during this transition.

Joint Petitioners are taking all steps necessary to close the Proposed Transaction as soon as possible. On the facts presented, Joint Petitioners respectfully urge Commission action be taken on the front end of the Commission's standard three- to four-month time frame for issuing declaratory rulings on transfers of this nature. Alternatively, should the Commission determine that an order under NYPSL Section 70 is required, its issuance may also proceed in the near term as the facts of this case are clear cut and should not require significant additional time to be reviewed. Joint Petitioners therefore respectfully request Commission action on the Joint Petition expeditiously and no later than its July 16, 2026 session.

I. CORRESPONDENCE AND COMMUNICATIONS

The following persons should be included on the official service list established herein and all communication concerning this Filing should be addressed to them:

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II. BACKGROUND

A. Description of Joint Petitioners and Other Relevant Entities

1. The Facility

Brought into commercial operation in 2012 and 2018, the Facility is composed of, *inter alia*, an approximately 660 MW (name plate), state of the art, highly efficient, simple cycle conventional electric generating facility and a 6.75-mile high-voltage alternating current cable system. The Facility is electrically connected to Consolidated Edison Company of New York, Inc.'s ("Con Edison") 345 kV substation in Brooklyn, New York and provides wholesale energy, capacity and ancillary services into Zone J. Its technology is dispatchable on a 24 x 7 basis thereby providing a critical reliability complement to service from interruptible resources. Since 2010, the Commission has addressed its jurisdiction over the Facility and BEC in a series of orders.[10]

2. Seller

Seller is a Delaware limited liability company, formed solely for the purpose of indirectly acquiring, owning and controlling the equity interests in TBH. Seller is an indirect, wholly-owned subsidiary of North Haven Infrastructure Partners II US Investments L.P. ("North Haven U.S.") and other co-investment entities, all of which are under common control. The general partner of North Haven U.S. is Morgan Stanley Infrastructure II, Inc. ("MSI II Inc."), an indirect, wholly-owned subsidiary of Morgan Stanley. The limited partnership interests in North Haven U.S. are owned approximately 60% by North Haven Infrastructure Partners II-AIV I LP ("North Haven

[10] *See* Lightened Regulation Order at 4; *see* also 2014 Lightened Regulation Order; NYPSC 18-E-0501, *Joint Petition of Bayonne Energy Center, LLC, MIC Thermal Power Holdings, LLC and NHIP II Bayonne Holdings LLC for a Declaratory Ruling Regarding Transfer of Upstream Ownership Interests or, in the Alternative, an Order Approving the Transfer Pursuant to Section 70 of the New York Public Service Law,* Declaratory Ruling on Transfer and Making Other Findings (hereinafter, "September 2018 Lightened Regulation Declaratory Ruling") (issued and effective September 18, 2018) at 10-11 (finding that a transfer of upstream interests in BEC satisfied the Wallkill Presumption and did not necessitate further NYPSL Section 70 review); November 2018 Financing Declaratory Ruling.

AIV") and approximately 40% by North Haven Infrastructure Partners II L.P. ("North Haven II"). Morgan Stanley Infrastructure II GP LP ("MSI II GP LP") is the sole general partner of North Haven II and North Haven AIV. The limited partnership interests in North Haven II and North Haven AIV are held by passive investors. MSI II Inc. is also the general partner of MSI II GP LP. MSI II GP LP has delegated its day-to-day management responsibilities and authority to Morgan Stanley Infrastructure, Inc. ("MSI"), a registered investment adviser under the Investment Advisers Act of 1940, as amended. Each of MSI II GP LP and MSI, indirectly are wholly-owned subsidiaries of Morgan Stanley.

Morgan Stanley operates as a Financial Holding Company under the Bank Holding Company Act of 1956. Through its affiliates and subsidiaries, Morgan Stanley provides various products and services to a range of clients and customers, including corporations, governments, financial institutions and individuals. Morgan Stanley operates through three business segments: Institutional Securities, Wealth Management and Investment Management. The Institutional Securities segment provides investment banking services, including advisory services on mergers and acquisitions, restructurings and capital raising, as well as underwriting of equity and debt securities. It also engages in sales and trading, financing and market-making activities across equity and fixed income products, including foreign exchange and commodities, and provides prime brokerage and research. Wealth Management delivers financial advice and brokerage services to individual investors and small to medium-sized businesses, along with banking and lending products. Investment Management provides a broad range of investment strategies and products across public and private markets to institutional and retail clients globally.

3. Buyer

Buyer, a Delaware limited liability company, is a special purpose vehicle formed for the purpose of acquiring interests in Seller's indirect entity pursuant to the Proposed Transaction. All of the equity interests of Buyer are currently owned by Jupiter Energy Investments LLC, a Delaware limited liability company, which, in turn, are currently allocated as follows: 32% ownership by Elliott Associates, L.P. and 68% ownership by Elliott International, L.P. (Elliott Associates, L.P., Elliott International, L.P and their respective affiliates, collectively, "Elliott"). Buyer is presently the only subsidiary of Jupiter Energy Investments LLC and itself has no subsidiaries. Elliott Associates, L.P. is a Delaware limited partnership and Elliott International, L.P. is a Cayman Island limited partnership.

With respect to electric or gas infrastructure, including both generation and transmission, Elliott does not own any public securities of companies doing business in New York or in the PJM and ISO-NE markets. Through its subsidiaries, Elliott has a 97% interest in the Channelview generation facility, an 851 MW natural gas cogeneration facility located near Houston, Texas ("Channelview Cogeneration"). Other than Channelview Cogeneration, Elliott does not hold more than 5% of any electric or gas corporation with energy infrastructure and such holdings are in entities outside New York and its neighboring markets.

Buyer does not own or control any interest in, operate, or control electric transmission facilities, other than those limited facilities used solely for the interconnection of its sole generating facility to the transmission grid. Buyer also does not own or control any inputs to electric power production that could be used to prevent competitors from entering any utility service territory. Buyer has no franchised service territory and no captive customers. Buyer is not affiliated with any entities that have any retail electric facilities or distribution services or captive customers into any electric market or any entities that could erect barriers to entry into any electric market.

B. Proposed Transaction

Seller and Buyer executed a purchase and sale agreement on March 13, 2026. Pursuant to that agreement, Seller will transfer 100% of its direct equity interests in TBH, an indirect parent of BEC, to Buyer. The Proposed Transaction will result in BEC becoming an indirect, wholly owned subsidiary of Buyer post-closing, as reflected in the organizational chart attached hereto as Exhibit A.

BEC will continue to manage the daily operations of the Facility post-closing. Pursuant to the terms of the Proposed Transaction, Buyer will continue to contract with the existing asset operations management firm, Ethos Energy, and will contract with existing Facility management personnel to provide for a seamless transition and ensure ongoing efficient and reliable operations post-closing.

C. Scope of Commission Review

As established in greater detail below, the Commission has historically applied the Wallkill Presumption in proceedings involving transfers of interests in merchant generation assets. To evaluate the first prong of the Wallkill test, market power considerations, the Commission initially focuses on generation ownership within New York. Accounting for the impact of available transfer capability with neighboring regions, the Commission has also considered whether changes to the generation ownership concentration in PJM and ISO-NE could allow the buyer to exercise market power to the detriment of New York consumers.

III. THE COMMISSION SHOULD TAKE ACTION THAT PERMITS THE PROPOSED TRANSACTION TO BE COMPLETED

The Proposed Transaction involves an inter-corporate transfer of equity interests upstream of the entity that owns the Facility, a transaction the Commission has found to be subject to review by the Commission under its Wallkill Presumption.[11] As demonstrated herein, the Proposed Transaction does not have the potential to harm captive ratepayers, and thus, clearly satisfies the Wallkill Presumption. The Commission should accordingly authorize it by either issuing a declaratory ruling declining further review or, if the Commission determines that review under NYPSL Section 70 is warranted, by authorizing the Proposed Transaction on the papers.

Turning first to market power considerations, the proposed transfer of these interests to Buyer does not raise any concerns. Buyer currently has no ownership interests in New York electric or gas assets. As such, the Proposed Transaction would introduce a new player into the New York markets to support Facility operations thereby diversifying the existing concentration of ownership in New York's supply stack. Indeed, given that Elliott's sole ownership interests are in one cogeneration facility located in Texas, which is far outside the geographic scope of review, the Proposed Transaction indisputably cannot implicate any market power concerns.

The Joint Petition also demonstrates Buyer's adequate financial wherewithal to own and operate the Facility. As the Commission has long recognized, the financial structure of lightly

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[11] *See* Wallkill Order at 9-10; *see* Case 20-E-0240, *Joint Petition of Ball Hill Wind Energy, LLC, RES America Developments Inc., & Northland Power New York Wind LLC, for Approval of the Proposed Transaction Pursuant to Section 70 of the Public Service Law*, Declaratory Ruling on Review of Transfer Transaction (issued and effective August 17, 2020) at 5 ("The Commission has determined that full regulatory review is not needed for transfers of indirect, upstream ownership interests in lightly-regulated electric and gas corporations unless the proposed transfer presents a risk of market power or harm to captive ratepayers.").

regulated merchant entities operating in a competitive market requires less scrutiny because these entities assume all financial risks associated with their operations.[12]

Here, Elliott, a private investment firm that is managed by Elliott Investment Management L.P., one of the oldest investment managers of its kind under continuous management, seeks to acquire the upstream equity interests in BEC and remain within BEC's previously authorized $720 million financing level. As New York transitions its electric markets to accommodate a greater share of renewable resources, it remains essential for efficient and cost-effective operations of dispatchable facilities like the Facility that are needed to ensure ongoing system reliability to be maintained which, in turn, will facilitate the State's transition as it implements its CLCPA initiatives.

Furthermore, the Proposed Transaction will not change the management or asset operations services for the Facility. Existing plant-level personnel, many with decades of experience in ensuring reliable operations, will continue to operate the Facility, supported by the oversight, technical resources, and extensive experience provided by the Facility's management team. Retaining the Facility's experienced staff and management team to continue to implement the Facility's operating efficiencies and industry best practices going forward satisfies the Commission's technical capability criterion under the Wallkill Presumption.

The Joint Petition thus meets all three prongs of the Commission's *Wallkill* test. Accordingly, the Proposed Transaction is in the public interest and should be permitted to proceed. Consistent with past Commission determinations where, as here, no potential harm to captive ratepayers is present, Joint Petitioners respectfully request that the Commission issue a declaratory

[12] *See, e.g.*, Case 13-G-0210, *Inergy Pipeline East LLC*, Declaratory Ruling on Review of a Transfer Transaction and Order Approving Financing (issued and effective November 19, 2013) at 7.

ruling confirming: (i) no further review of the Proposed Transaction is required, or in the alternative, issue an order on the papers under NYPSL Section 70 to authorize the Proposed Transaction; and (ii) the Commission's previously authorized BEC financing provisions as reflected in its November 2018 Financing Declaratory Ruling will be continued post-closing.

IV. THE COMMISSION'S DETERMINATION TO APPLY A LIGHTENED REGULATION REGIME IS NOT AFFECTED BY THE PROPOSED TRANSACTION

The Facility's physical characteristics are unique with the turbines that generate energy located in New Jersey but the site's output delivered to New York via bulk, interstate transmission facilities that electrically connect the Facility to Con Edison's system in Brooklyn. In previously issued orders addressing the Facility, the Commission modified an earlier finding, determined that Facility transmission infrastructure located in New York was subject to the Commission's jurisdiction under NYPSL Sections 69 and 70 and confirmed, as a merchant facility operating in the New York markets, the Facility and its direct owner would be subject to lightened regulation. Accounting for past orders, Joint Petitioners respectfully request Commission action in this proceeding incorporate confirmation that the lightened regulatory status the Commission has applied to the Facility and BEC will be retained post-closing.

In support thereof, Joint Petitioners note past Commission determinations have continued lightened regulatory status following inter-corporate transfers of upstream interests in generation facilities on a merchant basis.[13] Where, as here, one merchant entity seeks to transfer its full

[13] *See, e.g.*, September 2018 Lightened Regulation Declaratory Ruling at 11-12; *see also* NYPSC Case 15-E-0462, *Petition of MACH Gen, LLC; New MACH Gen, LLC; Silver Oak Capital, LLC, and New Athens Generating Company, LLC for a Declaratory Ruling*, Declaratory Ruling on Review of a Merger Transaction (issued and effective October 20, 2015) at 8; NYPSC Case 14-E-0022, *MACH Gen LLC and New Athens Generating Company LLC - Petition for a Declaratory Ruling or, in the Alternative, Approval of the Indirect Transfer of New Athens Generating Company LLC Pursuant to Public Service Law §70*, Order Approving Transfers of Ownership Interests and Making Other Findings (issued April 25, 2014) at 11.

interests to another merchant entity and the affected generation facility participates in wholesale electric markets, the same determination is warranted. The facts presented thus support a Commission determination continuing lightened regulation post-closing in line with its precedent.

V. COMPLIANCE WITH STATE ENVIRONMENTAL QUALITY REVIEW ACT AND CLIMATE ACT REQUIREMENTS, IF AND AS APPLICABLE

In the event the Commission should determine the facts presented warrant review under NYPSL Section 70, it must evaluate whether its action in this proceeding could have a significant impact on the environment in accordance with the State Environmental Quality Review Act ("SEQRA"), Article 8 of the Environmental Conservation Law, and the implementing regulations set forth in 6 NYCRR Part 617 and 16 NYCRR Part 7.[14] If SEQRA review is required in this case, the proposed action, *i.e.,* authorizing the Proposed Transaction, does not fall within the definitions of either Type I or Type II actions set forth in 6 NYCRR §§ 617.4 and 617.5, or 16 NYCRR § 7.2, and should therefore be classified as an "unlisted" action under SEQRA. In line with the approach the Commission has taken in previous transfers between merchant companies under NYPSL Section 70, Seller has completed an Environmental Assessment Form ("EAF") to assist in any such evaluation. The completed EAF, attached as Exhibit B hereto, demonstrates that the proposed action will not result in any significant adverse environmental impacts.

The Commission has found that transfers of upstream membership interests in lightly regulated electric corporations operating generating facilities do not cause significant adverse environmental impacts; the facts presented in this proceeding support the same conclusion.[15] The

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[14] It is well-established SEQRA review is not required if the Commission issues a declaratory ruling declining further review of the Proposed Transaction. ((*See* 6 NYCRR § 617.5 (c) (37) "The following actions are not subject to review under this Part: . . . interpretation of an existing code, rule or regulation.").)

[15] *See e.g.*, NYPSC Case 15-E-0580, *Joint Verified Petition of Upstate New York Power Producers, Inc.; Cayuga Operating Company, LLC; Somerset Operating Company, LLC; and Riesling Power LLC for Expedited Approval Pursuant to Section 70 of the New York State Public Service Law and Related Approvals*, Order Approving Transfer

Proposed Transaction will not result in any physical changes to the Facility. Nor do transaction agreements call for increased plant output or otherwise direct or change any Facility operating characteristics, obligations or practices. Post-closing, the Facility will continue to operate in compliance with all applicable Commission orders, permits, environmental laws and DEC regulations and their operations, and relatedly, economic merit order in the New York supply stack will thus continue status quo. Accordingly, the Commission should follow its established precedent and issue a negative declaration under SEQRA, confirming that additional environmental review of the Proposed Transaction is not required.

Similarly, should the Commission determine the CLCPA applies to this matter, its action authorizing the Proposed Transaction would not run afoul thereof. Section 7(2) of the CLCPA requires the Commission to confirm that its "administrative approvals and decisions" are not inconsistent with, and will not interfere with, achieving the statewide greenhouse gas emissions limits set forth in Article 75 of the New York Environmental Conservation Law ("NYECL"), or to provide a detailed justification if those limits cannot be met. Section 7(3) prohibits State agencies from taking actions that disproportionately burden disadvantaged communities.[16]

If the Commission determines the CLCPA applies to action concerning the Proposed Transaction, these same considerations dictate finding that its requirements are met. As established, the Proposed Transaction will not alter the Facility's operating characteristics or its participation as a dispatchable supplier in the New York wholesale markets. As such, post-closing, the Facility will continue to provide service in accordance with the NYISO's scheduling and

(issued February 25, 2006) at 11-12; Case NYPSC 15-E-0208, *Saranac Power Partners, L.P. - Petition for a Declaratory Ruling Disclaiming the Need to Review a Transfer of a 5% Ownership Interest, or, in the Alternative, an Order Approving the Transfer*, Order Approving a Transfer Transaction and Making Other Findings (issued August 17, 2015) at 6-7.

[16] Chapter 106 of the Laws of 2019.

dispatch instructions and, where applicable, those of Con Edison, its connecting Transmission Owner – operations that are consistent with CLCPA mandates. The Facility will operate as it does today, *i.e.,* when its bids are accepted in merit order or it is called upon by the NYISO or Con Edison to address operating conditions on the system. As a result, the level of greenhouse gas emissions from the Facility will not vary due to this change in upstream ownership. Thus, Commission action in this proceeding is not inconsistent with, and will not interfere with, the attainment of emissions limits established under the NYECL, nor will it disproportionately burden disadvantaged communities. Therefore, if the Commission undertakes review under this statute, the facts presented support finding its actions in this proceeding satisfy CLCPA requirements.

VI. NEW YORK STATE ADMINISTRATIVE PROCEDURE ACT

Pursuant to Section 202 of the State Administrative Procedure Act ("SAPA"), if the Commission determines that review of the Proposed Transaction under NYPSL Section 70 is required, such consideration constitutes a rulemaking. As such, notice of the Proposed Transaction must be published in the *New York State Register* and this matter must be subject to a 60-day public comment period.[17] To facilitate this process, a draft notification suitable for publication in the *New York State Register* pursuant to SAPA is attached as Attachment C.

VII. THE FACTS AND CIRCUMSTANCES PRESENTED SUPPORT NEAR TERM COMMISSION ACTION

The NYISO has stressed repeatedly that existing system resources must continue to operate efficiently to meet the electricity needs of New Yorkers as the system composition transitions to achieve the State's climate change initiatives. The facts set forth in this Joint Petition, together

[17] SAPA § 202 (1).

with the imperative for an effective system transition, provide compelling justification for prompt Commission action.

As demonstrated *supra*, the Proposed Transaction indisputably does not pose any market power concerns, BEC's financial strength will be maintained thereby supporting ongoing efficient operations and the Facility's proven management and operational structures will be retained. Timely Commission action to authorize the Proposed Transaction, which is in the public interest, is warranted and will allow closing timed to infuse a significant source of new capital into the New York markets just as the State faces peak operating conditions this summer. Accordingly, Joint Petitioners respectfully request that Commission action be taken on the Joint Petition expeditiously and no later than its July 16, 2026 session.

VIII. CONCLUSION

The Proposed Transaction satisfies the Wallkill Presumption and is in the public interest. For the reasons established herein, Joint Petitioners respectfully request that the Commission issue a declaratory ruling concluding that no further review of the Proposed Transaction is required or, in the alternative, an order on the papers under NYPSL Section 70 to authorize the Proposed Transaction without further proceedings, and make related findings.

Dated: March 24, 2026
Albany, New York

Respectfully submitted,

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VERIFICATION

STATE OF New York)
) ss:
COUNTY OF New York)

James Wilmott, being duly sworn, deposes and states as follows:

1. I am the Vice President of NHIP II Bayonne Holdings, LLC, a Joint Petitioner in this proceeding.
2. I am authorized to sign this verification on behalf of NHIP II Bayonne Holdings, LLC.
3. I have reviewed the foregoing Joint Petition and the statements of fact contained therein as they pertain to NHIP II Bayonne Holdings, LLC and its subsidiaries and affiliates as well as the transaction addressed therein are true and correct to the best of my knowledge, information and belief.

NHIP II BAYONNE HOLDINGS LLC,
By: Morgan Stanley Infrastructure Inc, its manager

By: ____________________
Name: James Wilmott
Title: Vice President

Sworn to and subscribed before me
this 24th day of March, 2026.

____
Notary Public

DENISE B. CARELSE
NEW YORK COUNTY
NOTARY
PUBLIC
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COMMISSION EXPIRES
May 27, 2026
STATE OF NEW YORK

STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Joint Petition of NHIP II Bayonne Holdings, LLC and Jupiter Energy Investor LLC for a Declaratory Ruling Eschewing Further Review of Proposed Transaction, or, in the Alternative, an Order Authorizing the Transaction Pursuant to Section 70 of the New York Public Service Law

Case 26-E-

VERIFICATION

STATE OF NEW YORK)
) ss:
COUNTY OF NEW YORK)

Elliot Greenberg, being duly sworn, deposes and states as follows:

1. I am the Vice President of Jupiter Energy Investor LLC, one of the Joint Petitioners in this proceeding.

2. I am authorized to sign this verification on behalf of Jupiter Energy Investor LLC.

3. I have reviewed the foregoing Joint Petition and the statements of fact contained therein as they pertain to Jupiter Energy Investor LLC and its subsidiaries and affiliates as well as the transactions addressed therein are true and correct to the best of my knowledge, information and belief.

Elliot Greenberg, Vice President
Jupiter Energy Investor LLC

Sworn to and subscribed before me
this 24th day of March, 2026.

OKSANA BITETTI
Notary Public, State of New York
No. 01BI6137693 Qualified in Kings County
Certificate Filed in New York County
Commission Expires December 05, 2029

Exhibit A

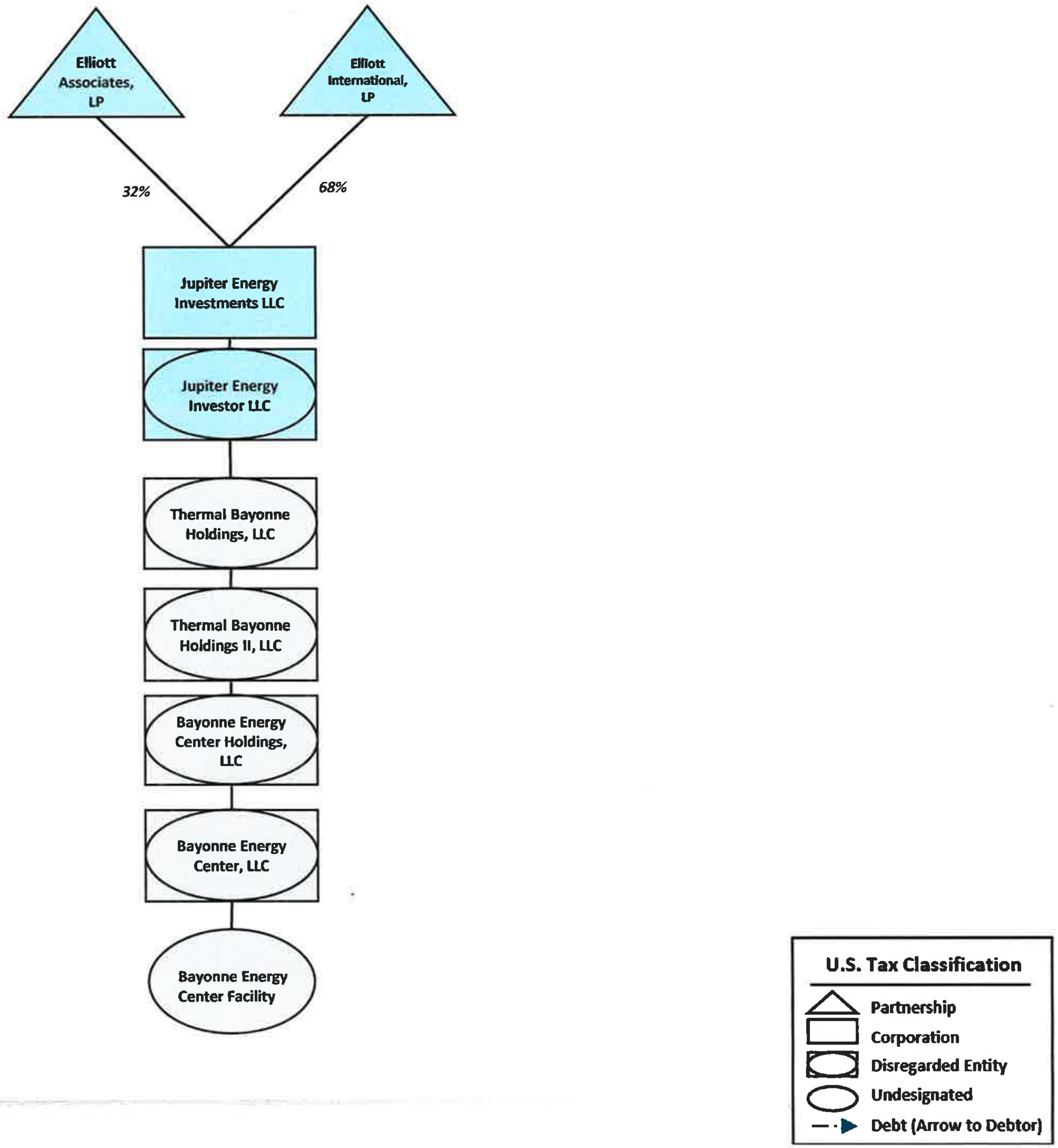
Elliott Associates, LP
Elliott International, LP
32%
68%
Jupiter Energy Investments LLC
Jupiter Energy Investor LLC
Thermal Bayonne Holdings, LLC
Thermal Bayonne Holdings II, LLC
Bayonne Energy Center Holdings, LLC
Bayonne Energy Center, LLC
Bayonne Energy Center Facility
U.S. Tax Classification
Partnership
Corporation
Disregarded Entity
Undesignated
Debt (Arrow to Debtor)

Exhibit B

Substance of Proposed Rule

The New York Public Service Commission is considering a verified joint petition ("Joint Petition") filed by NHIP II Bayonne Holdings, LLC ("Seller") and Jupiter Energy Investor LLC (individually, "Buyer" and, collectively with Seller, "Joint Petitioners") for action authorizing transfer of 100% of Seller's interests in an entity that is the indirect, upstream owner of electric generating facilities located in New Jersey, electrically connected to New York and actively participating in the New York Independent System Operator, Inc.'s wholesale electric markets, to Buyer.

Exhibit C

Short Environmental Assessment Form
Part 1 - Project Information

Instructions for Completing

Part 1 – Project Information. The applicant or project sponsor is responsible for the completion of Part 1. Responses become part of the application for approval or funding, are subject to public review, and may be subject to further verification. Complete Part 1 based on information currently available. If additional research or investigation would be needed to fully respond to any item, please answer as thoroughly as possible based on current information.

Complete all items in Part 1. You may also provide any additional information which you believe will be needed by or useful to the lead agency; attach additional pages as necessary to supplement any item.

Part 1 – Project and Sponsor Information		
Name of Action or Project: Joint Petition for Public Service Commission Approval of Upstream Ownership Interests Pursuant to Public Service Law Section 70		
Project Location (describe, and attach a location map): N/A		
Brief Description of Proposed Action: A Joint Petition filed before the Public Service Commission for approval of Jupiter Energy Investor LLC's acquisition of upstream ownership interests in NHIP II Bayonne Holdings, LLC pursuant to Public Service Law Section 70. Bayonne Energy Center, LLC is an existing facility, and the change in upstream ownership interests will not result in physical changes to the facility or facility site or operations.		
Name of Applicant or Sponsor: Leonard H. Singer, Counsel for NHIP II Bayonne Holdings, LLC	Telephone: (518) 426-4600 E-Mail: lsinger@couchwhite.com	
Address: 540 Broadway, 7th Floor		
City/PO: Albany	State: NY	Zip Code: 12207

	NO	YES
1. Does the proposed action only involve the legislative adoption of a plan, local law, ordinance, administrative rule, or regulation? If Yes, attach a narrative description of the intent of the proposed action and the environmental resources that may be affected in the municipality and proceed to Part 2. If no, continue to question 2.	☑	☐
2. Does the proposed action require a permit, approval or funding from any other government Agency? If Yes, list agency(s) name and permit or approval: Federal Energy Regulatory Commission, Federal Power Act Section 203 Approval	☐	☑

3. a. Total acreage of the site of the proposed action? N/A acres
b. Total acreage to be physically disturbed? N/A acres
c. Total acreage (project site and any contiguous properties) owned or controlled by the applicant or project sponsor? N/A acres

4. Check all land uses that occur on, are adjoining or near the proposed action:

☐ Urban ☐ Rural (non-agriculture) ☐ Industrial ☐ Commercial ☐ Residential (suburban)
☐ Forest ☐ Agriculture ☐ Aquatic ☑ Other(Specify): N/A
☐ Parkland

	NO	YES	N/A
5. Is the proposed action,			
a. A permitted use under the zoning regulations?	☐	☐	☑
b. Consistent with the adopted comprehensive plan?	☐	☐	☑

	NO	YES
6. Is the proposed action consistent with the predominant character of the existing built or natural landscape? N/A	☐	☐
7. Is the site of the proposed action located in, or does it adjoin, a state listed Critical Environmental Area? N/A If Yes, identify:	☐	☐
8. a. Will the proposed action result in a substantial increase in traffic above present levels? N/A	☐	☐
b. Are public transportation services available at or near the site of the proposed action? N/A	☐	☐
c. Are any pedestrian accommodations or bicycle routes available on or near the site of the proposed action? N/A	☐	☐
9. Does the proposed action meet or exceed the state energy code requirements? If the proposed action will exceed requirements, describe design features and technologies: N/A	☐	☐
10. Will the proposed action connect to an existing public/private water supply? If No, describe method for providing potable water: N/A	☐	☐
11. Will the proposed action connect to existing wastewater utilities? If No, describe method for providing wastewater treatment: N/A	☐	☐
12. a. Does the project site contain, or is it substantially contiguous to, a building, archaeological site, or district which is listed on the National or State Register of Historic Places, or that has been determined by the Commissioner of the NYS Office of Parks, Recreation and Historic Preservation to be eligible for listing on the State Register of Historic Places? N/A	☐	☐
b. Is the project site, or any portion of it, located in or adjacent to an area designated as sensitive for archaeological sites on the NY State Historic Preservation Office (SHPO) archaeological site inventory?	☐	☐
13. a. Does any portion of the site of the proposed action, or lands adjoining the proposed action, contain wetlands or other waterbodies regulated by a federal, state or local agency?	☐	☐
b. Would the proposed action physically alter, or encroach into, any existing wetland or waterbody?	☐	☐
If Yes, identify the wetland or waterbody and extent of alterations in square feet or acres: N/A		

14. Identify the typical habitat types that occur on, or are likely to be found on the project site. Check all that apply: N/A ☐ Shoreline ☐ Forest ☐ Agricultural/grasslands ☐ Early mid-successional ☐ Wetland ☐ Urban ☐ Suburban		
15. Does the site of the proposed action contain any species of animal, or associated habitats, listed by the State or Federal government as threatened or endangered? N/A	NO ☐	YES ☐
16. Is the project site located in the 100-year flood plan? N/A	NO ☐	YES ☐
17. Will the proposed action create storm water discharge, either from point or non-point sources? If Yes,	NO ☐	YES ☐
a. Will storm water discharges flow to adjacent properties?	☐	☐
b. Will storm water discharges be directed to established conveyance systems (runoff and storm drains)? If Yes, briefly describe: N/A	☐	☐
18. Does the proposed action include construction or other activities that would result in the impoundment of water or other liquids (e.g., retention pond, waste lagoon, dam)? If Yes, explain the purpose and size of the impoundment: N/A	NO ☐	YES ☐
19. Has the site of the proposed action or an adjoining property been the location of an active or closed solid waste management facility? If Yes, describe: N/A	NO ☐	YES ☐
20.Has the site of the proposed action or an adjoining property been the subject of remediation (ongoing or completed) for hazardous waste? If Yes, describe: N/A	NO ☐	YES ☐

I CERTIFY THAT THE INFORMATION PROVIDED ABOVE IS TRUE AND ACCURATE TO THE BEST OF MY KNOWLEDGE

Applicant/sponsor/name: Leonard H. Singer, Esq. Date: March 24, 2026

Signature: s/ Leonard H. Singer Title: Counsel for NHIP II Bayonne Holdings, LLC

PRINT FORM